

it. So they chase whatever is moving and get into trouble.

As the famed money manager Ralph Wanger used to say, investors tend to like to “buy more lobsters as the price goes up.” Weird, since you probably don’t exhibit this behavior elsewhere. You usually look for a deal when it comes to gasoline or washing machines or cars. And you don’t sell your house or golf clubs or sneakers because someone offers less than what you paid.

Speaking of Wanger, he wrote an investment book called *A Zebra in Lion Country*, published in 1997. It’s an entertaining read and I recommend it. In it, he gets at the boredom arbitrage: “Usually the market pays what you might call an entertainment tax, a premium, for stocks with an exciting story. So boring stocks sell at a discount. Buy enough of them and you can cover your losses in high tech.”

That was in 1997, before the bubble popped in 2000. Good advice from Wanger, as usual. (I met him once in his office in Chicago in 2005.

He was generous with his time and spent almost two hours with me, just sharing his wisdom.) Today, the market seems bored with just about anything that isn’t tech, biotech, social media or Tesla.

Anyway, if you can find ways to fight boredom and not take it out on your portfolio, your returns will benefit.

Just keep your eye on the prize: hundredfold returns are not boring.

Don’t Get Snookered: Avoid Scams

But when a man suspects any wrong, it sometimes happens that if he be already involved in the matter, he insensibly strives to cover up his suspicions even from him-self. And much this way it was with me. I said nothing and tried to think nothing.

—Herman Melville, *Moby Dick*

I heard Carson Block deliver a good presentation at a Value Investing Congress.

Block, if you don’t know, is the founder of Muddy Waters Research. He’s a short seller. And he is most famous for bringing down Sino-Forest in 2011.

Carson’s report alleged Sino-Forest was a fraud and its shares were